How to Make the Most of This Book

Hands-On Financial Trading with Python, Second Edition

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The goal: a working strategy, start to finish

Build a quantitative trading strategy, from start to finish

One book. One case study. One process.



Start to finish

From the first data download to a strategy that runs on its own.



One case study

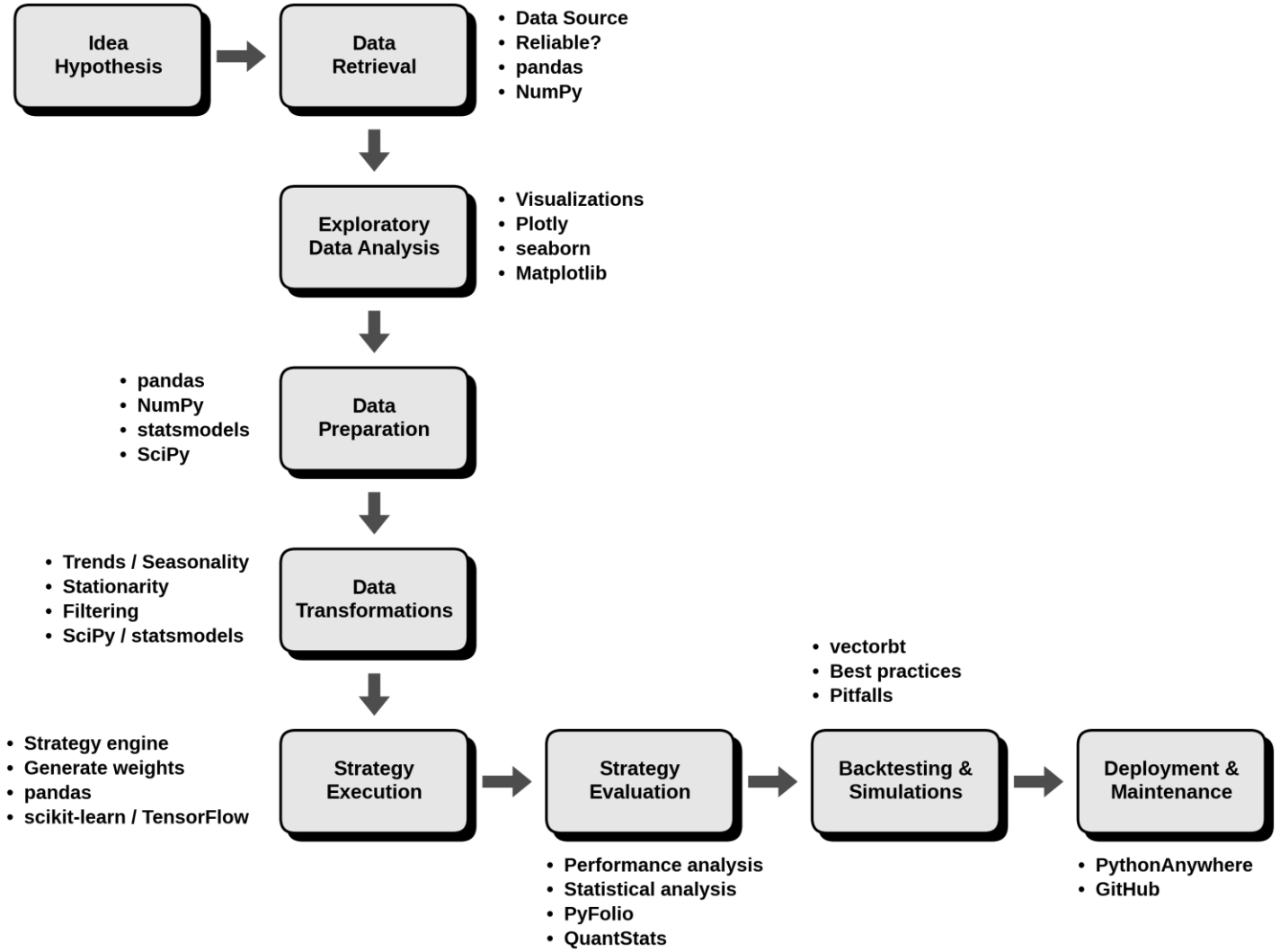
The VIXY tail hedge, followed through the book.



Process first

You learn the order professionals work in. The libraries come second.

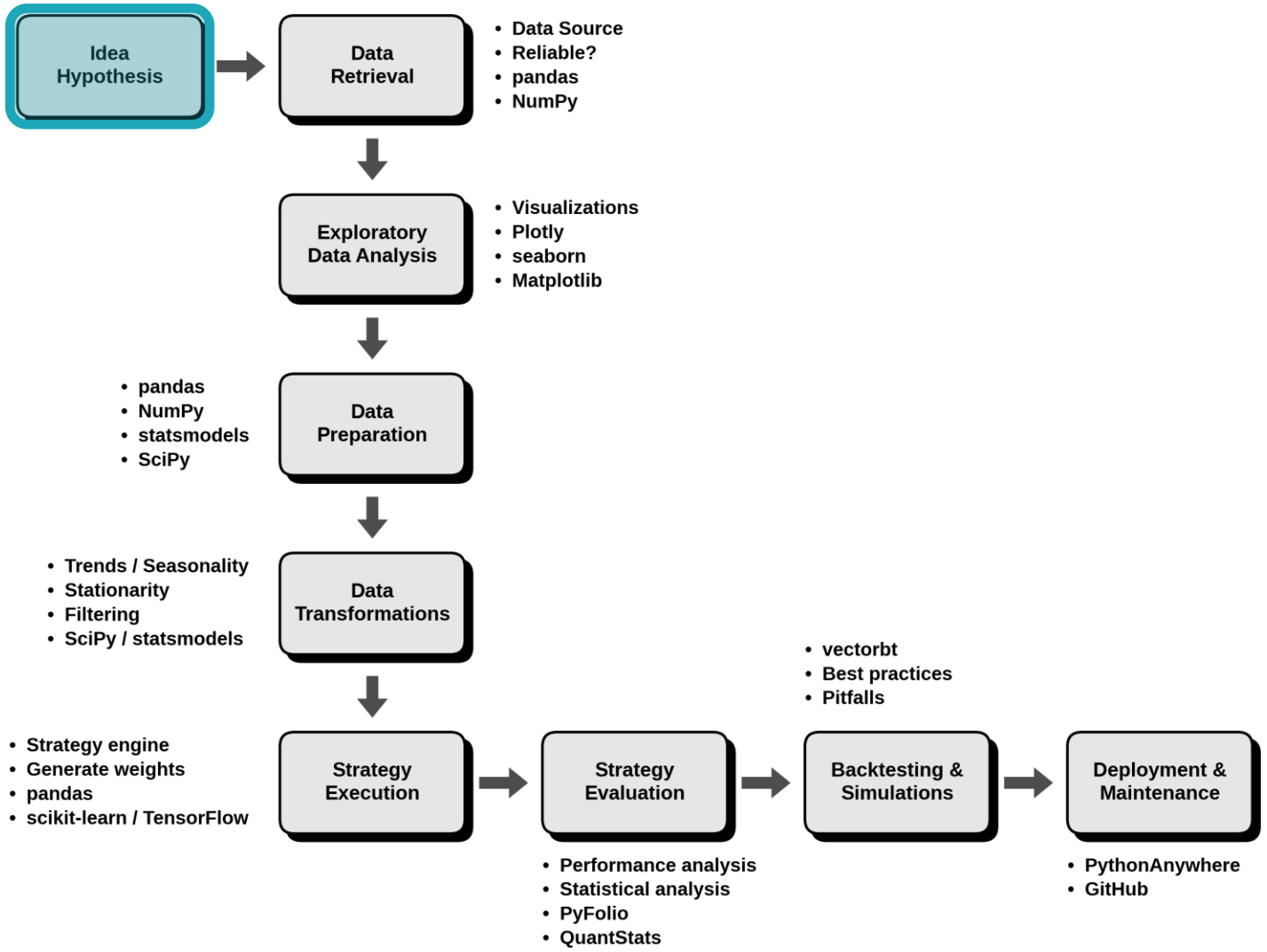
Figure 1.1: the map for the whole book



Nine steps, from idea to deployment

- Each box is one step in the process.
- The tools for each step sit beside its box.
- Every chapter belongs somewhere on this map.

Figure 1.1, step 1: Idea and hypothesis



1

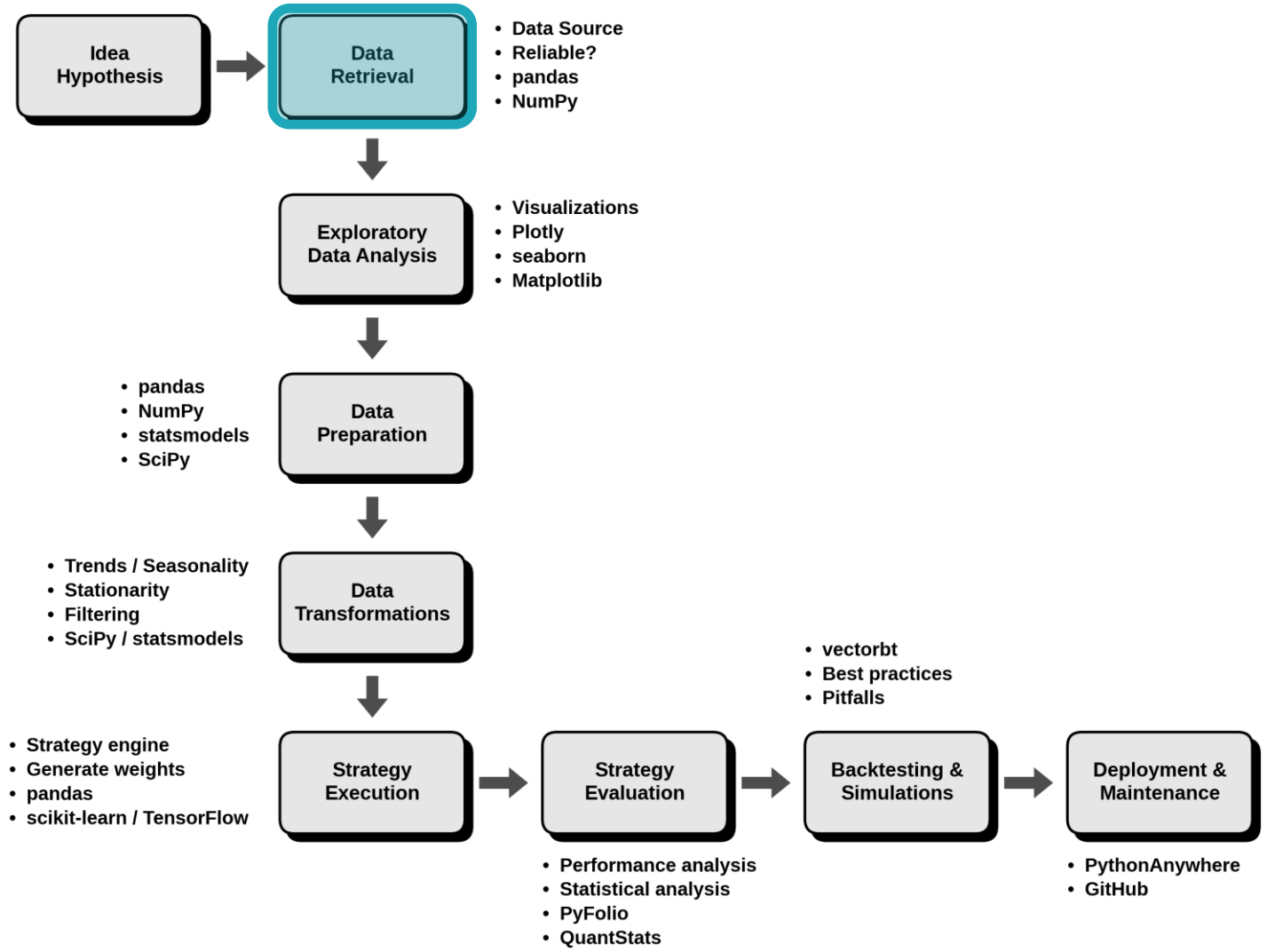
Idea and hypothesis

Every strategy needs a reason it might work.

In the book

Chapter 1

Figure 1.1, step 2: Data retrieval



2

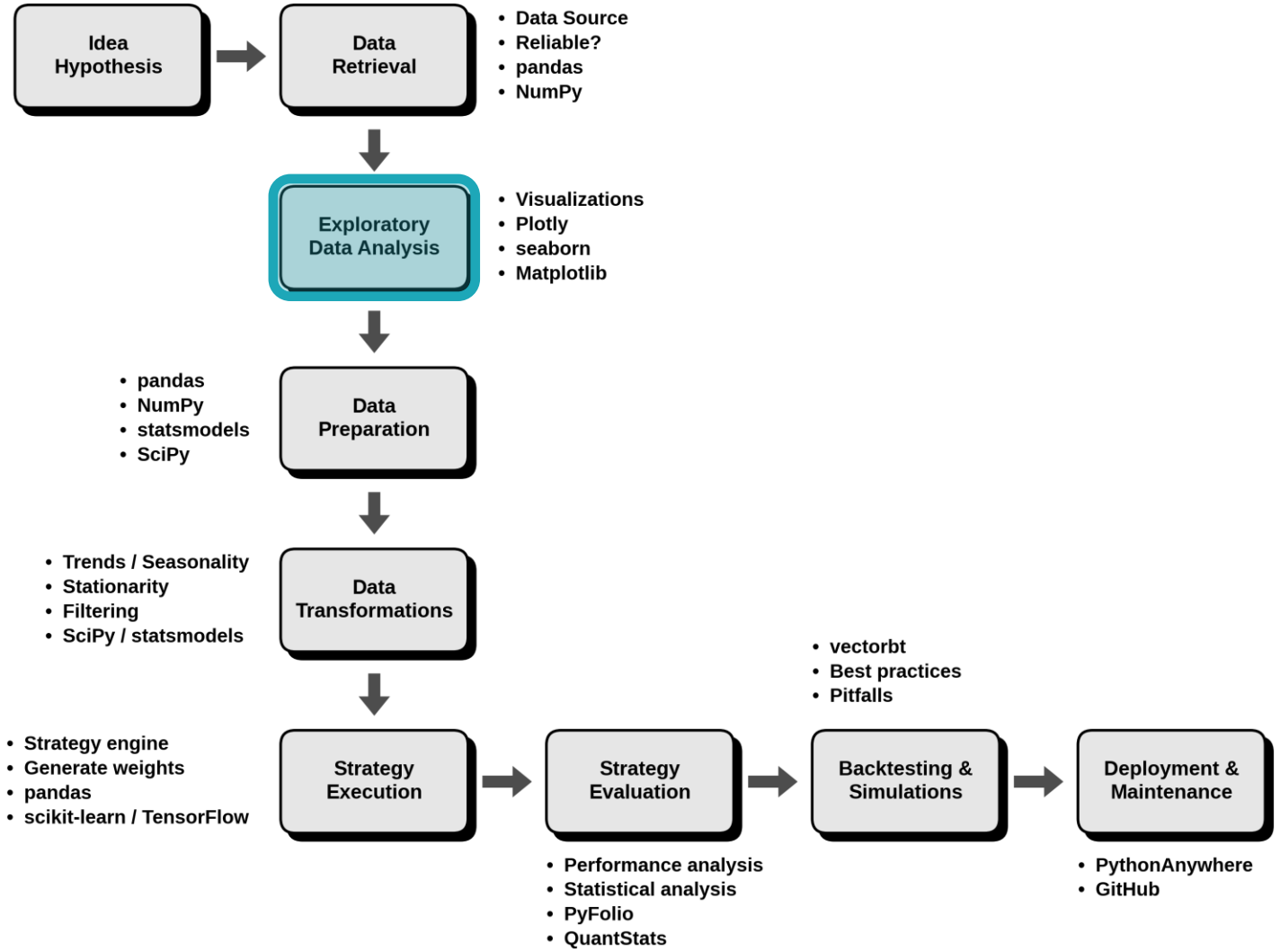
Data retrieval

Where the data comes from, and whether you can trust it.

In the book

Chapter 3

Figure 1.1, step 3: Exploratory data analysis



3

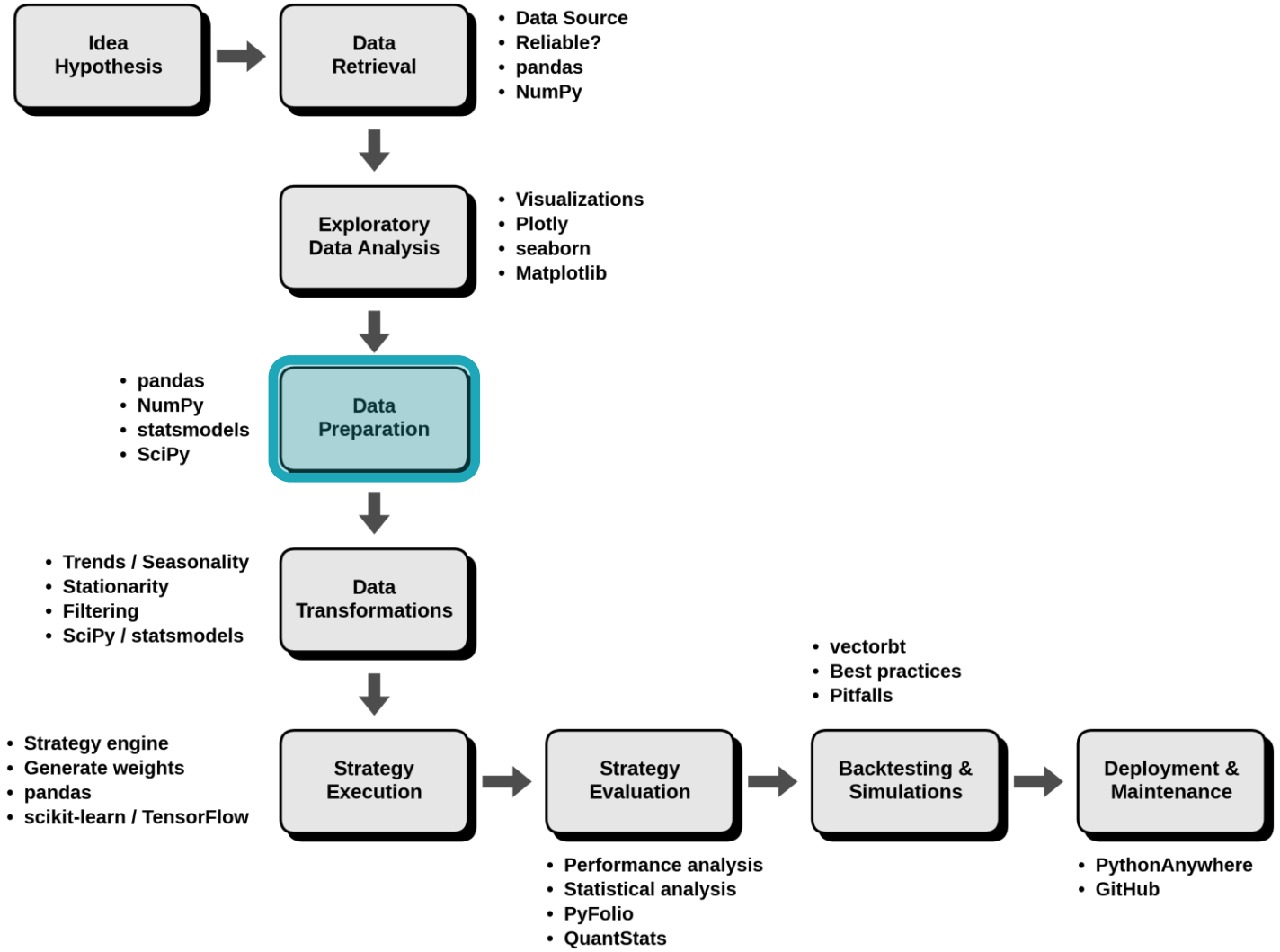
Exploratory data analysis

Look at the data before you use it.

In the book

Chapter 4

Figure 1.1, step 4: Data preparation



4

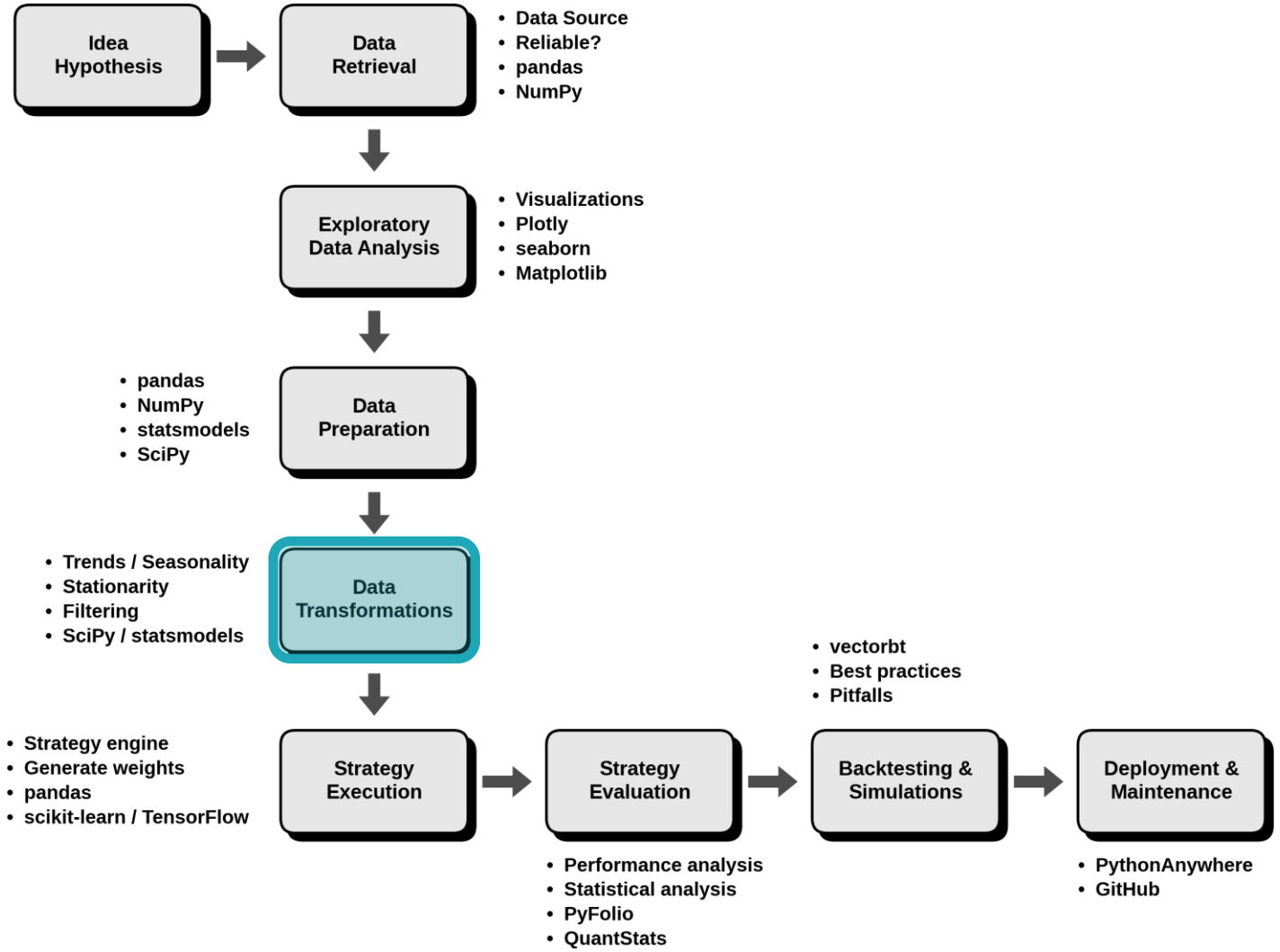
Data preparation

Clean the data so it is ready to use.

In the book

Chapter 5

Figure 1.1, step 5: Data transformations



5

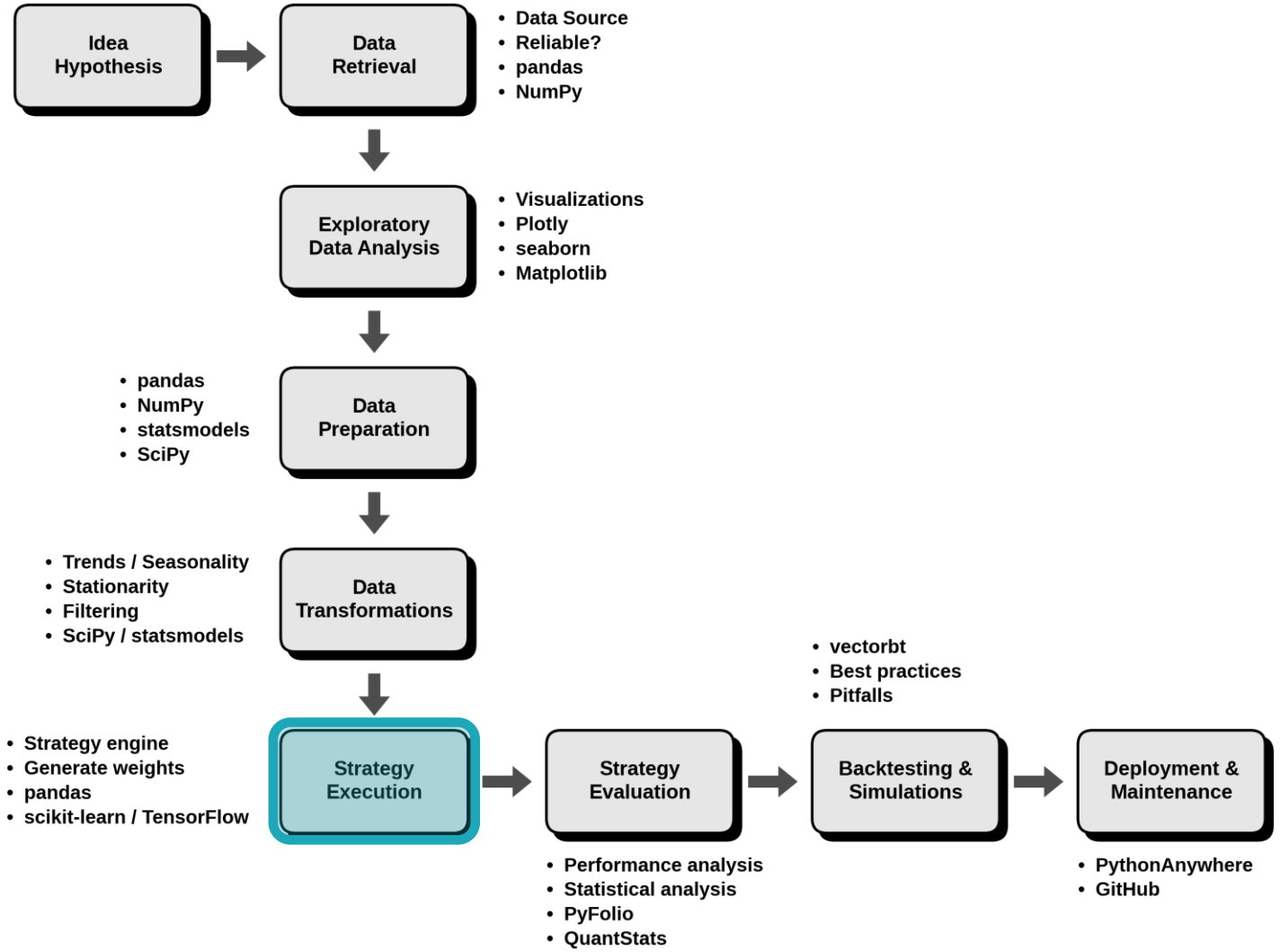
Data transformations

Remove noise and make the data usable.

In the book

Chapter 6

Figure 1.1, step 6: Strategy execution



6

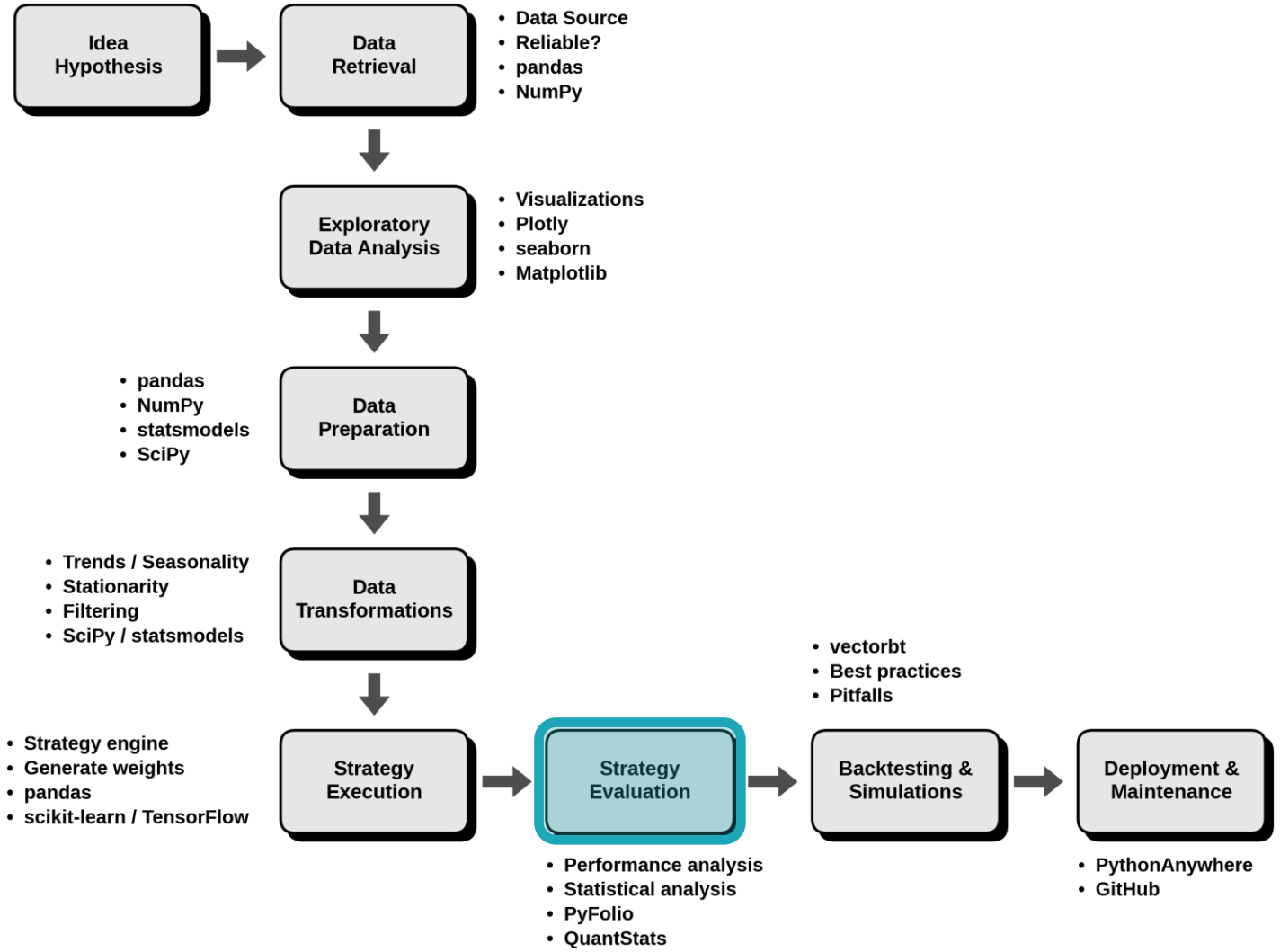
Strategy execution

Turn the data into signals and portfolio weights.

In the book

Chapters 12 to 16

Figure 1.1, step 7: Strategy evaluation



7

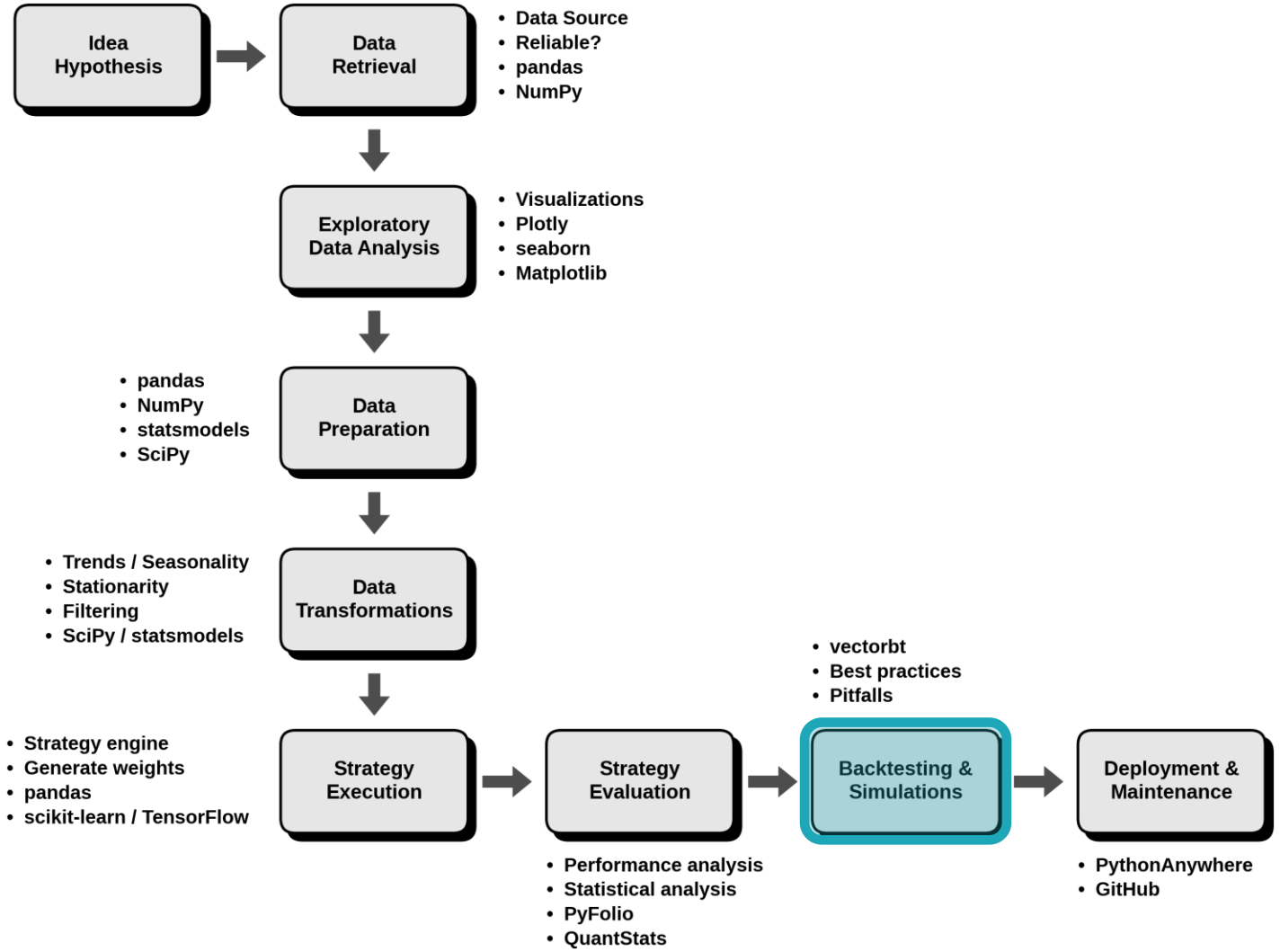
Strategy evaluation

Decide whether the results are any good.

In the book

Chapter 7

Figure 1.1, step 8: Backtesting and simulations



8

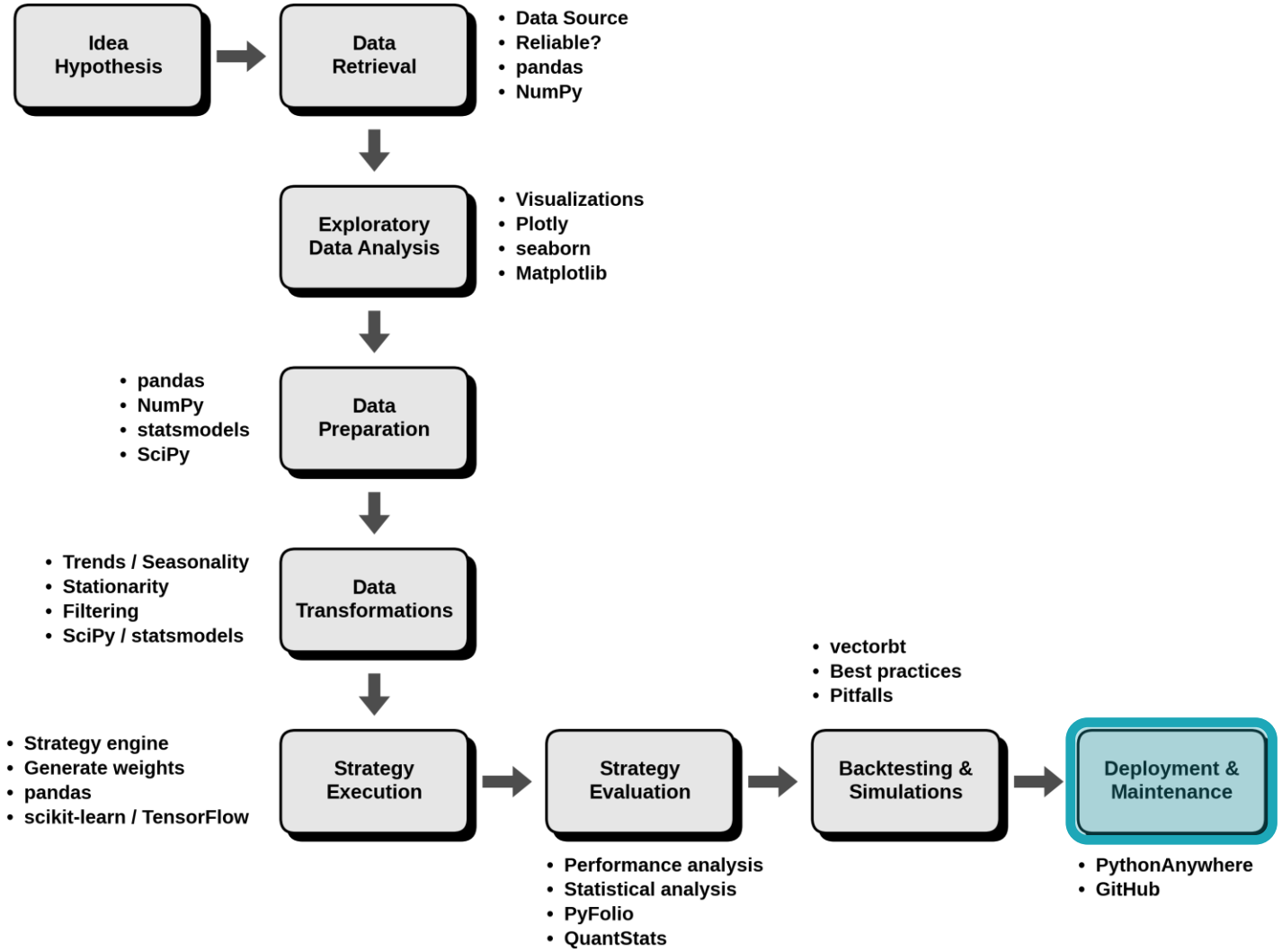
Backtesting and simulations

Test the strategy on history, and do it honestly.

In the book

Chapters 8 to 11

Figure 1.1, step 9: Deployment and maintenance



9

Deployment and maintenance

Run the strategy without you.

In the book

Chapters 17 and 18

What to expect in each chapter

1	**Foundations and Data** Your workflow, then retrieving, exploring, preparing and cleaning data	**Chapters 1 to 6**
2	**Evaluating and Validating Strategies** How to judge a strategy before you build one	**Chapters 7 to 11**
3	**Forecasting and Rules-Based Strategies** Time-series models, then rules-based strategies	**Chapters 12 to 13**
4	**Machine Learning and AI Signals** Machine learning, a hands-on case, and large language models	**Chapters 14 to 16**
5	**Deployment and Automation** A deployable repository, and a strategy that runs without you	**Chapters 17 to 18**

Your three resources



The book

Explains the why behind every step.



The repo

Holds all of the code for the book.



The notebooks

Let you run the code, step by step.



Companion videos for the deployment chapters. The link is in the Preface.

Cloning the repo with GitHub Desktop

1

Find the URL or QR code

Both are printed in the book.

2

Copy the URL

Select the URL and copy it.

3

Clone it in GitHub Desktop

Choose File, then Clone Repository, then the URL tab. Paste the URL, choose a folder, and click Clone.

Screen recording follows: I clone the repo live.

Keeping your copy up to date



Click Fetch origin

GitHub Desktop checks the book repo for changes.



Click Pull origin

Your folder receives the new and fixed files.

Do this whenever a notebook does not match the book.

The notebooks

```
B37124_16_01_...ipynb
```

B37124	16	01
The book code	The chapter number	The notebook number



Each notebook opens with the question it answers.



You run them in Google Colab. The next video shows you how.

Make the most of each chapter



Read the chapter



Run its notebook



Change one parameter and rerun it



Watch the companion videos for the deployment chapters

Next: Video 2, Colab Overview